Independent Auditor’s Report

Opinion

Key Audit Matters

Statement of Profit or Loss

Group Rs. ’000		
Insurance revenue	20,000,000	18,000,000
Insurance service expenses	(15,000,000)	(14,000,000)
Net expenses from reinsurance contracts held	(1,500,000)	(1,200,000)
Insurance service result	3,500,000	2,800,000
Investment income	4,000,000	3,800,000
Net insurance finance expenses	(2,000,000)	(1,900,000)
Other income	100,000	90,000
Other operating and administrative expenses	(600,000)	(590,000)
Profit before tax	5,000,000	4,200,000
Income tax expense	(1,500,000)	(1,200,000)
Profit for the year	3,500,000	3,000,000
Basic earnings per share	7.00	6.00

Statement of Financial Position

Group Rs. ’000		
Property, plant and equipment	1,000,000	950,000
Financial investments	52,000,000	47,500,000
Reinsurance contract assets	2,000,000	1,800,000
Cash and cash equivalents	1,500,000	1,200,000
Other assets	3,500,000	3,550,000
Total assets	60,000,000	55,000,000
Insurance contract liabilities	38,000,000	35,000,000
Other liabilities	7,000,000	6,500,000
Total liabilities	45,000,000	41,500,000
Stated capital	3,000,000	3,000,000
Retained earnings	12,000,000	10,500,000
Total equity	15,000,000	13,500,000
Total equity and liabilities	60,000,000	55,000,000

Notes to the Financial Statements

1. Corporate information